

IP08

Local Government: Rural and Urban

About 2-3 questions a paper, counting both the Indian Polity and the Rajasthan Administration slots. The repeat clusters are sharp - princely states that passed panchayat Acts (2016, 2018, 2024), the District Planning Committee (2016, 2024), PESA (2018, 2021), Nagaur 1959 (2018) and the count of Eleventh Schedule items (2021). Committee-to-recommendation matching is near-certain.

This is the third tier of Indian federalism - panchayats in the villages and municipalities in the towns. For a Rajasthan aspirant it is doubly important, because Rajasthan is where Panchayati Raj began, at Nagaur on 2 October 1959. The chapter is almost entirely factual: four committees, two amendments, two Schedules, a handful of Article numbers. Learn them cold.

Local Government - Rural and Urban

Before 1992

- Art. 40 DPSP - village panchayats
- Ripon Resolution 1882
- Royal Commission on Decentralisation 1907
- Bikaner Gram Panchayat Act 1928
- Nagaur, 2 October 1959 - Rajasthan first

Four committees

- Balwant Rai Mehta 1957 - three tiers
- Ashok Mehta 1977 - two tiers, Mandal
- G.V.K. Rao 1985 - grass without roots
- L.M. Singhvi 1986 - constitutional status
- 64th Amendment Bill 1989 - failed

73rd Amendment

- Part IX, Art. 243 to 243-O
- Eleventh Schedule - 29 items
- In force 24 April 1993
- Three tiers, Gram Sabha, 5-year term
- SEC 243K, SFC 243I, DPC 243ZD

74th Amendment

- Part IX-A, Art. 243P to 243ZG
- Twelfth Schedule - 18 items
- In force 1 June 1993
- Nagar Panchayat, Council, Corporation
- Ward Committees 3 lakh+, MPC 10 lakh+

PESA and money

- PESA 1996 - Bhuria Committee 1995
- Fifth Schedule areas in 10 States
- Gram Sabha owns minor forest produce
- 15th FC Rs 4.36 lakh crore, 2021-26
- Mayor deliberative, Commissioner executive

Where local self-government comes from - Ripon to the princely states

Local government means the elected bodies below the State - panchayats in the villages, municipalities in the towns. The Constitution-makers did not make them a Fundamental Right or even a compulsory institution. They put them in the Directive Principles. Article 40 tells the State to organise village panchayats and give them the powers needed to function as units of self-government. A Directive Principle is not enforceable in a court, which is exactly why

panchayats stayed weak for forty years until the 73rd Amendment made them constitutional.

- Article 40 - a Directive Principle, Gandhian in classification, the seed of Part IX.
- Lord Ripon's Resolution of 1882 is called the Magna Carta of local self-government; Ripon is the Father of local self-government in India.
- Royal Commission on Decentralisation, 1907 (report 1909) - recommended strengthening village panchayats.
- Montagu-Chelmsford Reforms, 1919 - local self-government became a transferred subject under dyarchy.
- Government of India Act, 1935 introduced provincial autonomy and popular ministries continued the work.

Rajasthan's own local-government milestones

Year	Landmark
1864	Mount Abu - Rajasthan's first municipality
1928	Bikaner state enacts its own Gram Panchayat Act - the first princely state to do so
Pre-1947	Jodhpur, Jaipur, Udaipur, Sirohi, Bharatpur and Karauli also legislate on panchayats
1953	Rajasthan Panchayat Act
1959	Rajasthan Panchayat Samitis and Zila Parishads Act
1994	Rajasthan Panchayati Raj Act - the present law, following the 73rd Amendment

ASKED IN RAS

A documented repeat. RAS Pre 2016 and 2024 asked which was the FIRST princely state in Rajasthan to enact its own Gram Panchayat Act - answer Bikaner, 1928. RAS Pre 2018 flipped it into a negative question: which state is NOT usually listed among those that legislated on panchayats before independence - answer Dholpur.

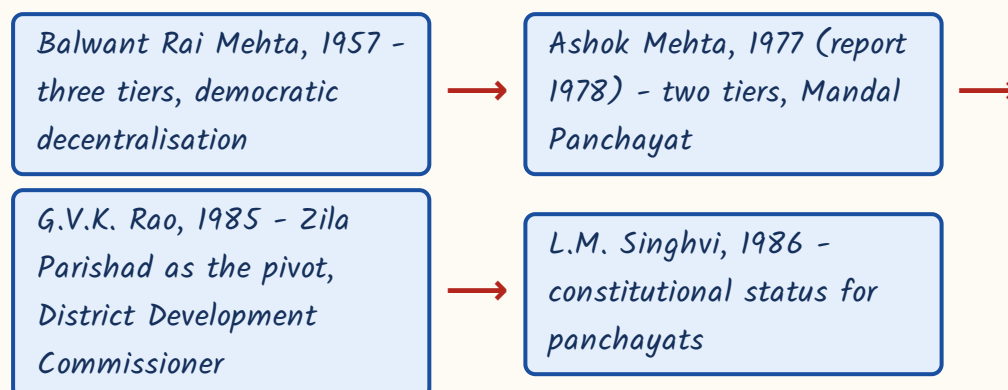
TRAP

Two separate facts, and RPSC swaps them. Bikaner (1928) is the FIRST. The list of pre-independence panchayat legislators is Bikaner, Jodhpur, Jaipur, Udaipur, Sirohi, Bharatpur and Karauli. Dholpur is not in it. And Mount Abu 1864 is a MUNICIPALITY, not a panchayat - do not offer it as the answer to a panchayat question.

The four committees - the backbone of this chapter

Between 1957 and 1986 four committees rebuilt the idea of Panchayati Raj, each reacting to the failure of the last. Learn them as a sequence, because RPSC asks both the order and the committee-to-recommendation match. One sentence each is enough - the exam never asks for the argument, only for the label.

The four committees, in order



Committee to recommendation - the matching set

Committee	Year	What it is remembered for
Balwant Rai Mehta	Appointed Jan 1957, report Nov 1957	'Democratic decentralisation'; three tiers - Gram Panchayat, Panchayat Samiti, Zila Parishad
Ashok Mehta	Appointed 1977, report Aug 1978	Two tiers - Zila Parishad and Mandal Panchayat for 15,000-20,000 people; open party participation

Committee	Year	What it is remembered for
G.V.K. Rao	1985, Planning Commission	Called the system 'grass without roots'; Zila Parishad pivotal; post of District Development Commissioner
L.M. Singhvi	1986	First to ask for constitutional status; Gram Sabha as direct democracy; revive Nyaya Panchayats

- Balwant Rai Mehta made the Panchayat Samiti the executive body and the Zila Parishad only advisory and supervisory.
 - Ashok Mehta reversed that - the Zila Parishad was to be the executive body, and the Mandal Panchayat the base unit.
 - Ashok Mehta also wanted political parties to contest panchayat elections openly, which earlier committees had avoided.
 - G.V.K. Rao's phrase 'grass without roots' is quoted verbatim in options - it belongs to G.V.K. Rao, nobody else.
 - L.M. Singhvi is the only one of the four whose central idea actually became law, in 1992.
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- Other committees worth a line each: Hanumantha Rao (1983), P.K. Thungan (1988), V.N. Gadgil (1988).
 - P.K. Thungan recommended constitutional recognition and a five-year term for panchayats.
 - The 64th Constitutional Amendment Bill, 1989 was Rajiv Gandhi's attempt - passed by the Lok Sabha, DEFEATED in the Rajya Sabha.
 - The 65th Bill of 1989 for municipalities met the same fate; both were revived as the 73rd and 74th in 1992.

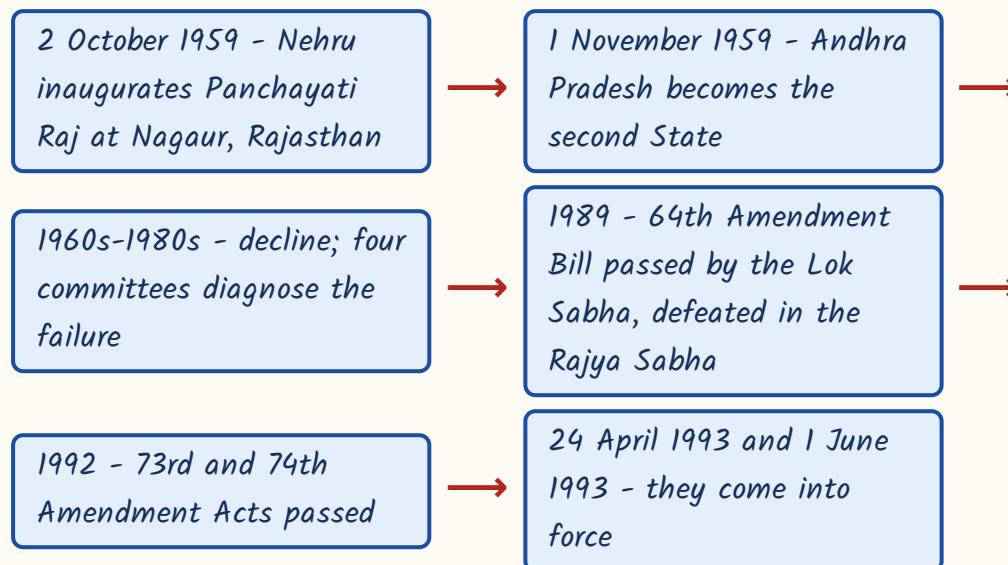
YAAD RAKHO

Yaad rakho the order with the string B-A-G-S: Balwant Rai Mehta, Ashok Mehta, G.V.K. Rao, Singhvi. Their years run 57-77-85-86. And pair the numbers with the tiers - Balwant Rai gave THREE tiers, Ashok Mehta gave TWO. The bigger name gave the bigger number.

Nagaur, 2 October 1959 - and the road to 1993

Rajasthan is the answer to this question, and you should never lose it. Acting on the Balwant Rai Mehta report, Rajasthan became the first State in India to implement Panchayati Raj. Jawaharlal Nehru inaugurated it at Nagaur on 2 October 1959 - Gandhi Jayanti. Andhra Pradesh followed on 1 November 1959. After that the system decayed for three decades, and only the 73rd and 74th Amendments of 1992 revived it.

From Nagaur to constitutional status



ASKED IN RAS

Asked in RAS Pre 2018 - Panchayati Raj was first inaugurated in India on 2 October 1959 at which place? Answer: Nagaur. Learn the whole cluster together, because the same fact is asked as 'which State was first' (Rajasthan) and 'which was second' (Andhra Pradesh, 1 November 1959).

- 73rd Amendment Act, 1992 - Part IX, Articles 243 to 243-O, Eleventh Schedule; in force 24 April 1993.
- 24 April is now observed every year as National Panchayati Raj Day.
- 74th Amendment Act, 1992 - Part IX-A, Articles 243P to 243ZG, Twelfth Schedule; in force 1 June 1993.
- Both were passed by the Narasimha Rao government and both became compulsory, not optional, for the States.

Part IX - the panchayat Articles you must be able to match

Part IX runs from Article 243 to Article 243-O. Sixteen Articles. RPSC does not ask you to explain them; it asks you to match a provision to its Article. So read this table until the number comes to you before the words do.

Part IX - Article to provision

Article	Provision
243	Definitions - village, Gram Sabha, panchayat, panchayat area, district
243A	Gram Sabha - powers as the State Legislature may provide
243B	Constitution of panchayats at village, intermediate and district level
243C	Composition of panchayats
243D	Reservation of seats
243E	Duration - five years
243F	Disqualifications for membership

Article	Provision
243G	Powers, authority and responsibilities - the hook for the Eleventh Schedule
243H	Power to impose taxes and the funds of panchayats
243I	State Finance Commission
243J	Audit of accounts
243K	Elections - State Election Commission
243M	Part IX not to apply to certain areas
243-O	Bar to interference by courts in electoral matters

- Three tiers are compulsory - village, intermediate and district - but a State with a population NOT EXCEEDING twenty lakh need not constitute the intermediate level (Art. 243B).
- All members at every level are DIRECTLY elected by the people (Art. 243C).
- The chairperson at the village level is elected as the State Legislature provides; at the intermediate and district level the chairperson is elected by and from among the elected members.
- Minimum age for membership of a panchayat is 21 years (Art. 243F) - not 25, not 18.
- Art. 243E - a five-year term; a dissolved panchayat must be reconstituted by fresh elections within six months.
- A panchayat constituted after a premature dissolution serves only the REMAINDER of the original five years.

TRAP

Two numbers that get swapped. The intermediate tier may be skipped only in a State with population up to TWENTY LAKH. Ward Committees are mandatory in a municipality of THREE LAKH or more. A Metropolitan Planning Committee needs a metropolitan area of TEN LAKH or more. Twenty - three - ten, in that order: panchayat, ward, metro.

Gram Sabha, reservation, and the two State-level commissions

Four provisions inside Part IX carry most of the questions. The Gram Sabha is the only body of direct democracy in the Indian Constitution - every registered voter of a village is a member. Reservation is the second. And then two bodies the Governor must create in every State: a State Election Commission to run the polls, and a State Finance Commission to review the money.

- Gram Sabha (Art. 243A) - the body of persons registered in the electoral rolls of a village. L.M. Singhvi called it the embodiment of direct democracy.
 - Reservation (Art. 243D) - seats for SCs and STs in PROPORTION to their population in the panchayat area.
 - Not less than ONE-THIRD of the total seats are reserved for women, and that one-third is counted within the SC and ST seats as well.
 - Offices of chairperson are reserved for SCs, STs and women on the same pattern.
 - SC/ST reservation of seats is co-terminous with Article 334; reservation for women has no such expiry.
 - A State Legislature MAY additionally reserve seats or chairperson offices for backward classes - that part is optional, not constitutional command.
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- State Election Commission (Art. 243K for panchayats, Art. 243ZA for municipalities) - superintendence, direction and control of electoral rolls and of the conduct of all local elections.
 - The State Election Commissioner is appointed by the GOVERNOR, and can be removed only in the manner and on the grounds of a High Court judge.
 - His conditions of service cannot be varied to his disadvantage after appointment.
 - State Finance Commission (Art. 243I for panchayats, Art. 243Y for municipalities) - constituted by the Governor every FIVE years.

- It reviews the financial position of panchayats and municipalities and recommends the distribution of taxes and grants; its report is laid before the State Legislature.

State Election Commission vs State Finance Commission – do not mix them up

State Election Commission (243K / 2432A)	State Finance Commission (243I / 243Y)
Runs local body elections and electoral rolls	Reviews the finances of local bodies
A standing constitutional authority	Constituted afresh every five years
State Election Commissioner appointed by the Governor	Members appointed by the Governor
Removable only like a High Court judge	No such protected tenure
Its work is barred from ordinary courts by Art. 243-O	Its report goes to the State Legislature

Article 243-O for panchayats and Article 2432G for municipalities bar the courts from interfering in the delimitation of constituencies, the allotment of seats and the conduct of local elections. A local election can be challenged only by an election petition presented in the manner the State law provides. This mirrors Article 329 for parliamentary and assembly elections.

The 74th Amendment – urban local bodies

Part IX-A does for towns what Part IX does for villages. Its central provision is Article 243Q, which recognises three kinds of urban body and ties each to a kind of area. The Governor decides which area gets which body, looking at population, density, the revenue generated, the share of non-agricultural employment and the economic importance of the place.

Article 243Q – the three urban bodies

Body	Area it serves
Nagar Panchayat	A transitional area - a rural area turning urban
Municipal Council	A smaller urban area
Municipal Corporation	A larger urban area

- Art. 243R - all seats in a municipality are filled by direct election from wards.
 - Art. 243S - Ward Committees are MANDATORY in a municipality with a population of three lakh or more.
 - Art. 243T - reservation on the panchayat pattern; States may also reserve for backward classes.
 - Art. 243U - five-year term; Art. 243V disqualifications; Art. 243W powers, the hook for the Twelfth Schedule.
 - Art. 243X taxes and funds; Art. 243Y State Finance Commission; Art. 243Z audit; Art. 243ZA elections.
 - Art. 243ZC - Part IX-A does not apply to Scheduled Areas and tribal areas.
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- In a Municipal Corporation the MAYOR is the deliberative and ceremonial head, presiding over the corporation's meetings.
 - The MUNICIPAL COMMISSIONER, usually an IAS or State service officer appointed by the State Government, is the EXECUTIVE head who implements the decisions.
 - The Mayor is elected; the Commissioner is appointed. That is the whole distinction the exam tests.
 - Municipal revenue comes from own taxes such as property tax, user charges, assigned revenues, State grants and Finance Commission grants.

73rd versus 74th, and the two Schedules

These two amendments are twins, passed together in 1992, and RPSC exploits the resemblance. Set them side by side once and the confusion dies.

73rd Amendment vs 74th Amendment

73rd Amendment Act, 1992	74th Amendment Act, 1992
Rural - panchayats	Urban - municipalities
Part IX	Part IX-A
Articles 243 to 243-O	Articles 243P to 243ZG
Eleventh Schedule	Twelfth Schedule
29 functional items	18 functional items
Linked to Article 243G	Linked to Article 243W
Three tiers - village, intermediate, district	Three types - Nagar Panchayat, Council, Corporation
Gram Sabha is the base body (243A)	Ward Committee is the base body (243S)
In force 24 April 1993	In force 1 June 1993
District Planning Committee under 2432D covers both	Metropolitan Planning Committee under 243ZE

ASKED IN RAS

Asked in RAS Pre 2021 - how many functional items does the Eleventh Schedule contain? Answer: 29. The companion figure, 18 for the Twelfth Schedule, is asked just as often. Note the inversion - the SMALLER Schedule number carries the BIGGER list.

Eleventh Schedule - the 29 items, grouped for recall

Group	Items
Land and farming	Agriculture and extension; land improvement and land reform; minor irrigation, water management and watershed development; animal husbandry, dairying and poultry; fisheries
Forests and industry	Social and farm forestry; minor forest produce; small-scale and food-processing industries; khadi, village and cottage industries

Group	Items
Basic needs	Rural housing; drinking water; fuel and fodder; roads, culverts, bridges, ferries and waterways; rural electrification; non-conventional energy; poverty alleviation
Education and culture	Education including primary and secondary schools; technical training and vocational education; adult and non-formal education; libraries; cultural activities; markets and fairs
Welfare and health	Health and sanitation including hospitals and PHCs; family welfare; women and child development; social welfare; welfare of weaker sections, SCs and STs; public distribution system; maintenance of community assets

Twelfth Schedule – the 18 items, grouped for recall

Group	Items
Planning and land	Urban planning including town planning; regulation of land-use and building construction; planning for economic and social development
Physical services	Roads and bridges; water supply for domestic, industrial and commercial use; public health, sanitation, conservancy and solid waste management; fire services
Environment and the poor	Urban forestry and protection of the environment; safeguarding the interests of weaker sections; slum improvement and upgradation; urban poverty alleviation
Amenities and culture	Parks, gardens and playgrounds; promotion of cultural, educational and aesthetic aspects; public amenities including street lighting, parking lots and bus stops
Regulatory	Burial and cremation grounds; cattle pounds and prevention of cruelty to animals; vital statistics including registration of births and deaths; regulation of slaughter houses and tanneries

TRAP

The classic cross-over. FIRE SERVICES is a Twelfth Schedule item - urban, not panchayat. MINOR IRRIGATION, water management and watershed development is an Eleventh Schedule item - rural, not municipal. Also remember neither Schedule is binding on its own; Articles 243G and 243W only ENABLE the State Legislature to devolve these subjects.

PESA, 1996 - panchayats in the Scheduled Areas

Part IX does not automatically apply to Fifth Schedule Scheduled Areas - Article 243M keeps it out. Parliament closed that gap with a separate law. The Panchayats (Extension to the Scheduled Areas) Act was enacted in December 1996 on the recommendations of the Bhuria Committee of 1995, chaired by Dilip Singh Bhuria. PESA extends Part IX to Scheduled Areas but with modifications that hand real power to the Gram Sabha instead of to the higher tiers.

- PESA, 1996 - the Bhuria Committee (1995) is the parent; Dilip Singh Bhuria chaired it.
- It applies to the Fifth Schedule areas of TEN States.
- The ten: Andhra Pradesh, Telangana, Chhattisgarh, Gujarat, Himachal Pradesh, Jharkhand, Madhya Pradesh, Maharashtra, Odisha and RAJASTHAN.
- In Rajasthan the Scheduled Areas lie in the southern tribal belt - Banswara, Dungarpur, Pratapgarh and parts of neighbouring districts.
- PESA does NOT cover Sixth Schedule tribal areas of the North-East; those have Autonomous District Councils instead.
- Under PESA the Gram Sabha approves plans, programmes and projects for social and economic development.
- It identifies and selects beneficiaries under poverty alleviation programmes.
- It owns MINOR FOREST PRODUCE.

- It must be **CONSULTED** before land acquisition and before the resettlement of displaced persons - consulted, not asked for consent.
- It manages minor water bodies and is consulted on the grant of licences for minor minerals.
- It can enforce prohibition or regulate the sale and consumption of intoxicants, and prevent alienation of tribal land.

ASKED IN RAS

Two separate PESA questions have come. RAS Pre 2018 asked simply for the year of enactment - 1996. RAS Pre 2021 asked a statement question on the powers of the Gram Sabha under PESA; the safe rule is that the Gram Sabha **OWNS** minor forest produce but is only **CONSULTED** on land acquisition and minor minerals. Ownership versus consultation is where the wrong option sits.

TRAP

Do not write that PESA gives the Gram Sabha a veto over land acquisition. The Act says 'shall be consulted'. Consent is required in some later laws, not in PESA itself. Equally, do not extend PESA to the Sixth Schedule - it is a Fifth Schedule instrument.

Planning committees and the money that reaches the third tier

Panchayats and municipalities plan separately, but a district has to have one plan. That is what Article 243ZD's District Planning Committee is for - it consolidates the plans of the rural and urban bodies of a district into a single draft development plan and sends it to the State Government. For very large

urban agglomerations Article 243ZE creates a Metropolitan Planning Committee. The composition percentages are what get asked.

The two planning committees

Feature	District Planning Committee (2432D)	Metropolitan Planning Committee (2432E)
Where	Every district	A metropolitan area of ten lakh or more
Elected share	Four-fifths of members	Two-thirds of members
Elected by whom	Elected members of the district panchayat and of the municipalities in the district, from among themselves	Elected members of the municipalities and chairpersons of the panchayats in the area
Seat ratio	In proportion to the rural and urban population of the district	In proportion to the population of the municipalities and panchayats
Output	Draft development plan for the district, sent to the State Government	Draft development plan for the metropolitan area

ASKED IN RAS

Asked in RAS Pre 2024, and earlier in 2016 - the District Planning Committee is under Article 2432D, four-fifths of its members are elected by the elected members of the district panchayat and the municipalities from among themselves, and seats are filled in proportion to the rural-urban population ratio. All three statements were correct. Remember four-fifths for the DPC and two-thirds for the MPC.

- Article 280(3)(bb) and (c) require the Central Finance Commission to suggest measures to augment a State's Consolidated Fund so as to supplement the resources of panchayats and municipalities.
- That is the constitutional bridge between the Union Finance Commission and the third tier.

- 15th Finance Commission, for 2021-26 – about Rs 4.36 lakh crore for local governments.
- Of that, about Rs 2.36 lakh crore for rural local bodies and about Rs 1.21 lakh crore for urban local bodies, plus Rs 70,051 crore of health grants.
- 15th FC grants are distributed among the States on POPULATION (90 per cent weight) and AREA (10 per cent weight).
- The 15th FC fixed the States' share in central taxes – vertical devolution – at 41 per cent.

CURRENT LINK

Current link, as of September 2026. The 16th Finance Commission, chaired by Arvind Panagariya, covers the five years 2026-31; its report was tabled in Parliament on 1 February 2026 and its award period began on 1 April 2026. It kept the States' share of the divisible pool at 41 per cent, and raised grants to local governments to about Rs 7.91 lakh crore – roughly Rs 4.35 lakh crore for rural and Rs 3.56 lakh crore for urban local bodies, split 80 per cent basic and 20 per cent performance-based. Any 2026 question on Finance Commission grants to local bodies will come from this report, so carry both sets of figures – 15th FC for the period just ended, 16th FC for the one now running.

REVISION RECAP

1. Article 40 is the Directive Principle behind panchayats; Lord Ripon's Resolution of 1882 made him the Father of local self-government in India.
2. Royal Commission on Decentralisation 1907 (report 1909); Montagu-Chelmsford 1919 made local self-government a transferred subject.
3. Bikaner was the first princely state in Rajasthan with a Gram Panchayat Act, 1928; Jodhpur, Jaipur, Udaipur, Sirohi, Bharatpur and Karauli followed. Dholpur is the odd one out.
4. Mount Abu, 1864 – Rajasthan's first municipality. Rajasthan Panchayat Act 1953, Panchayat Samitis and Zila Parishads Act 1959, Panchayati Raj Act 1994.

5. Balwant Rai Mehta 1957 - democratic decentralisation, three tiers, Panchayat Samiti as the executive tier.
6. Ashok Mehta 1977, report 1978 - two tiers, Mandal Panchayat for 15,000-20,000 people, political parties allowed in.
7. G.V.K. Rao 1985 - 'grass without roots', Zila Parishad pivotal, District Development Commissioner.
8. L.M. Singhvi 1986 - first to demand constitutional status, Gram Sabha as direct democracy, Nyaya Panchayats revived.
9. 64th Amendment Bill 1989 - cleared the Lok Sabha, defeated in the Rajya Sabha; Hanumantha Rao 1983, Thungon 1988 and Gadgil 1988 are the minor committees.
10. Rajasthan first in India - Nagaur, 2 October 1959, inaugurated by Nehru; Andhra Pradesh second on 1 November 1959.
11. 73rd Amendment - Part IX, Art. 243 to 243-O, Eleventh Schedule, 29 items, in force 24 April 1993, now National Panchayati Raj Day.
12. 74th Amendment - Part IX-A, Art. 243P to 243ZG, Twelfth Schedule, 18 items, in force 1 June 1993.
13. Article numbers to fix: 243A Gram Sabha, 243D reservation, 243E five years, 243G powers, 243I State Finance Commission, 243K State Election Commission, 243-O bar on courts.
14. Intermediate tier optional only for a State of not more than twenty lakh; minimum age 21; fresh elections within six months of dissolution.
15. One-third of seats and of chairperson offices reserved for women; SC and ST seats in proportion to population; backward-class reservation is optional for the State.
16. Art. 243Q - Nagar Panchayat for a transitional area, Municipal Council for a smaller urban area, Municipal Corporation for a larger one; Ward Committees compulsory above three lakh.
17. Mayor is the deliberative head, the Municipal Commissioner the executive head; Mayor elected, Commissioner appointed.
18. PESA December 1996, on the Bhuria Committee of 1995; Fifth Schedule areas in ten States including Rajasthan; Gram Sabha owns minor forest produce but is only consulted on land acquisition.
19. DPC under 243ZD - four-fifths elected, rural-urban population ratio; MPC under 243ZE - ten lakh population, two-thirds elected.
20. 15th FC 2021-26: Rs 4.36 lakh crore to local bodies, 90 per cent population and 10 per cent area; 16th FC 2026-31 raised it to about Rs 7.91 lakh crore, devolution held at 41 per cent.